

Notes: Michaely & Womack (RFS, 1999)

Conflict of Interest and the Credibility of Underwriter Analyst Recommendations

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1 Big picture

- **Question.** Are stock recommendations issued by IPO underwriters credible, or are they biased by investment-banking conflicts of interest?
- **Setting.** The paper studies IPOs conducted in 1990–1991 and recommendations on those IPO firms that appear in *First Call* within the first year after the IPO.
- **Conflict being tested.** A lead underwriter’s research analyst may face pressure to issue favourable coverage on firms brought public by the underwriter’s investment-banking division.
- **Main comparison.** The paper compares buy recommendations made by a firm’s own lead underwriter with buy recommendations made by nonunderwriter brokerage firms.
- **Core evidence before the recommendation.** Underwriter buy recommendations are preceded by weak stock performance: the average pre-recommendation excess return over the prior 30 trading days is -1.6% , compared with $+4.1\%$ for nonunderwriter buy recommendations.
- **Core announcement evidence.** The market reacts positively to both groups, but less to underwriter recommendations: the three-day event return is 2.7% for underwriters versus 4.4% for nonunderwriters.
- **Core post-recommendation evidence.** Underwriter recommendations perform worse over the next year: the mean event-plus-12-month excess return is -5.3% for underwriter recommendations and $+13.1\%$ for nonunderwriter recommendations.
- **Interpretation.** The pattern is inconsistent with the hypothesis that underwriters have superior information and issue more accurate recommendations. It is consistent with strategic bias or with overly optimistic priors generated by the underwriting relationship.
- **Market learning issue.** The market appears to partially discount underwriter recommendations at announcement, but not enough to eliminate the later underperformance.
- **Economic takeaway.** The paper provides early direct evidence that conflicts inside universal investment banks can compromise sell-side research credibility and affect investor outcomes.

2 Incremental contribution of the paper

- **Moves beyond anecdotes.** Prior discussions of biased analyst research relied heavily on press accounts and institutional descriptions. This paper constructs an event-study design that directly measures whether underwriter-affiliated analyst recommendations are less credible.
- **Uses a clean institutional link.** IPO underwriting creates an observable and economically meaningful relationship between an analyst’s employer and the covered firm. This allows the authors to separate recommendations by affiliated underwriters from recommendations by unaffiliated brokers.
- **Uses a matched comparison within the same IPO universe.** Instead of asking whether all IPO recommendations are optimistic, the paper compares underwriter and nonunderwriter buy recommendations on recent IPO firms, holding constant the broad setting of newly public companies.
- **Documents both timing and performance bias.** The contribution is not only that underwriter recommendations perform worse. The paper also shows that underwriters tend to recommend firms after prior price weakness, consistent with support or price-boosting incentives.
- **Separates announcement reaction from long-run credibility.** The paper shows that investors partially discount underwriter recommendations at announcement, yet subsequent underperformance remains. Thus market participants recognize some bias but not its full magnitude.

- **Provides evidence against the superior-information view.** If underwriters possess better information from due diligence, their recommendations should outperform those of outsiders. The paper shows the opposite.
- **Adds survey evidence on mechanism.** Because the data cannot perfectly distinguish strategic conflict of interest from selection or cognitive bias, the authors survey investment professionals. Most respondents, including a majority of investment bankers, choose conflict of interest as the more likely explanation.
- **Policy relevance.** The paper anticipates later debates about analyst independence, investment-banking conflicts, research regulation, quiet periods, and the separation of research and underwriting.

3 Data and measurement

3.1 IPO sample

- The sample begins with firms conducting IPOs in 1990–1991 with offering size at least \$5 million.
- The final sample contains 391 IPO firms.
- The sample excludes smaller IPOs because very small IPOs have different return patterns and are often not followed by analysts.
- The paper records IPO month, offering size, market capitalization after the quiet period, underwriter identity, industry, and post-IPO returns.
- Fourteen leading underwriters account for 246 IPOs, or 63% of the sample.

Interpretation: The IPO sample creates a well-defined environment in which the underwriting relationship is recent, observable, and likely to affect analyst incentives.

3.2 Recommendation data

- Recommendation data come from *First Call*, which collects daily commentary and recommendations from brokerage analysts.
- The authors identify all IPO firms that receive recommendations within the first year after the IPO.
- Recommendations are coded into categories such as buy, attractive, hold, removed from buy, downgrade, and sell.
- Aggressive buy and trading buy recommendations are coded as buy because their price reactions are similar to ordinary buy recommendations.

Interpretation: The main tests focus on added-to-buy recommendations because these are the most common positive recommendation events and are directly comparable across affiliated and unaffiliated analysts.

3.3 Underwriter versus nonunderwriter classification

- A recommendation is classified as **by underwriter** if it is made by an analyst employed by the lead manager of the IPO.
- A recommendation is classified as **by nonunderwriter** if it is made by another brokerage firm.
- The key buy-recommendation sample has 214 observations: 112 by underwriters and 102 by nonunderwriters.
- The authors also classify IPO firms by whether they receive no recommendation, only underwriter recommendations, both underwriter and nonunderwriter recommendations, or only nonunderwriter recommendations.

Interpretation: The underwriter relation is the empirical proxy for conflict of interest. Nonunderwriter recommendations provide a comparison group of analysts without the same underwriting tie.

3.4 Size-adjusted excess returns

The paper measures performance using buy-and-hold returns adjusted by the matching CRSP market capitalization decile portfolio:

$$ER_{a,b}^i = \prod_{t=a}^b (1 + r_t^i) - \prod_{t=a}^b (1 + r_t^{size}). \quad (1)$$

Here r_t^i is the raw return of firm i and r_t^{size} is the return on the relevant CRSP size-decile portfolio.

Portfolio excess return is the cross-sectional average:

$$PER_{a,b} = \frac{1}{n} \sum_{i=1}^n ER_{a,b}^i. \quad (2)$$

Interpretation: Size adjustment is important because recent IPOs are small and because IPO long-run returns are known to differ systematically by size.

3.5 Event windows

- **Pre-recommendation window:** 30 trading days ending two days before the recommendation.
- **Announcement window:** three trading days around the recommendation date, $t = -1, 0, +1$.
- **Post-recommendation windows:** event plus three months, six months, and twelve months.
- **IPO-history windows:** first trading day, first six months, first year, and first two years after the IPO.

Interpretation: The pre-window asks whether underwriters recommend firms after weak performance. The event window asks whether the market trusts the recommendation. The post-window asks whether the recommendation was actually valuable.

4 Empirical specifications

4.1 Announcement reaction regression

The paper estimates the three-day recommendation event return as

$$ER_{(-1,1)}^i = 11.4 - 2.8UR_i - 0.6Size_i - 0.04Time_i - 0.14DEarn_i + 0.8DFirst_i + 0.01UR_i \times Time_i + \varepsilon_i. \quad (3)$$

- UR_i equals one if the recommendation is made by the lead underwriter.
- $Size_i$ is log market capitalization after the quiet period.
- $Time_i$ is the number of days between IPO and recommendation.
- $DEarn_i$ indicates an earnings announcement near the recommendation date.
- $DFirst_i$ indicates whether this is the first recommendation on the IPO firm.

Interpretation: The negative coefficient on UR_i means the market reacts less to underwriter buy recommendations even after controlling for size, timing, earnings news, and recommendation sequence.

4.2 Pre-recommendation performance regression

The pre-recommendation regression is

$$ER_{pre}^i = -1.9 - 6UR_i - 0.1Size_i - 1.2Time_i + \varepsilon_i. \quad (4)$$

Interpretation: The -6% coefficient on UR_i shows that underwriter recommendations tend to follow poor price performance. This is consistent with analysts trying to support weak IPO clients.

4.3 Post-recommendation performance regression

The one-year post-recommendation regression is

$$ER_{post}^i = 9 - 15.5UR_i - 0.1Size_i - 0.8Time_i - 4DFirst_i + IndustryDummies_i + \varepsilon_i. \quad (5)$$

Interpretation: The coefficient -15.5 means stocks recommended by their own underwriters underperform stocks recommended by nonunderwriters by about 15.5 percentage points over the next year after controls.

4.4 Robustness logic

- The paper checks whether results are driven by early quiet-period recommendations by focusing on recommendations within the first two months.
- It checks whether nonrecommended IPOs contaminate the comparison by using only firms with *First Call* coverage.
- It compares performance beginning at the IPO rather than only at the recommendation date.
- It surveys investment professionals to distinguish conflict-of-interest from selection or cognitive-bias explanations.

Interpretation: The robustness tests are designed to show that the core result is not just timing, selection into coverage, or general IPO underperformance.

5 Identification and empirical design

5.1 What identifies the bias

- The key comparison is between affiliated and unaffiliated analysts issuing the same type of positive recommendation on recent IPOs.
- The affiliated analyst has a direct investment-banking relationship with the firm through the lead underwriter role.
- The unaffiliated analyst is less exposed to the same client-retention or fee-generation incentives.
- The paper then asks whether affiliated recommendations arrive after weaker performance, receive weaker announcement reactions, and produce worse future returns.

Interpretation: The identifying assumption is that after controlling for size, timing, and recommendation sequence, the underwriter versus nonunderwriter distinction captures a meaningful difference in analyst incentives.

5.2 Why superior information is rejected

- Underwriters should know more about firms they took public because of due diligence.
- If that informational advantage dominated, underwriter recommendations should either produce stronger announcement reactions or better post-recommendation performance.
- The data show the opposite: underwriter recommendations receive weaker market reactions and produce lower future excess returns.

Interpretation: The paper turns the underwriter’s informational advantage into a testable prediction and finds that it fails.

5.3 Alternative explanations

- **Strategic conflict of interest:** analysts consciously support underwriting clients to protect investment-banking relationships.
- **Selection bias/winner’s curse:** underwriters select firms they already view too optimistically.
- **Cognitive or anchoring bias:** underwriter analysts may become attached to optimistic IPO valuations formed during due diligence.
- **Market underreaction to bias:** investors understand some discount is warranted but do not fully account for the conflict.

Interpretation: The returns evidence shows bias, but not whether the bias is fully strategic or partly cognitive. The survey evidence pushes the interpretation toward strategic conflict of interest.

5.4 Limits of the design

- The sample is from 1990–1991 and reflects a specific institutional period before later analyst-independence reforms.
- The paper studies IPO-related recommendations rather than all analyst reports.
- Underwriter recommendations may differ from nonunderwriter recommendations for reasons other than incentives, although the control variables reduce some of these concerns.
- Long-run buy-and-hold returns are noisy, especially for small IPO stocks.

Interpretation: The paper is strongest as evidence of a conflict in a clean observable relationship; it is weaker as a universal estimate of all sell-side analyst bias.

6 Tables and figures

6.1 Tables 1 and 2: IPO sample and IPO performance by underwriter

Read:

- Table 1 documents the 391 IPO sample by month, size, and industry.
- Panel A shows the IPO count over 1990–1991, with total $N = 391$.
- Panel B shows that most IPOs have market capitalization between \$50 million and \$400 million.
- Panel C shows that business services, chemicals, health services, and electronic equipment are common sectors.
- Table 2 shows that IPOs have positive first-day excess returns, averaging about 10.8%, but negative average two-year post-issue excess returns.

Economic message: The sample looks like a typical IPO sample: underpricing at issuance followed by weak long-run performance. This background matters because analyst recommendations are studied in a market where IPO firms are already volatile and hard to value.

Table 1
Description of IPO sample

Panel A: Distribution of firms conducting initial public offerings by month in 1990–1991 (with offering size (flotation) greater than or equal to \$5 million) and the month-end Nasdaq price index

Month and year	Number of IPOs	Nasdaq price index
Jan 1990	8	415.81
Feb	6	425.83
Mar	14	435.54
Apr	16	420.07
May	13	458.97
Jun	19	462.29
Jul	17	438.23
Aug	10	381.21
Sep	5	344.51
Oct	1	329.84
Nov	1	359.06
Dec	2	373.84
Jan 1991	3	414.20
Feb	5	453.04
Mar	15	482.29
Apr	21	484.72
May	22	506.11
Jun	36	475.92
Jul	31	502.04
Aug	26	525.67
Sep	18	526.88
Oct	35	542.97
Nov	37	523.90
Dec 1991	30	586.34
Total	391	

Table 1, Panel A: IPO timing

Table 1
(continued)

Panel B: IPO firms differentiated by market capitalization in millions

Market capitalization	Percent of IPOs	Number of IPOs
Less than \$50	26	100
\$50–\$99.9	27	105
\$100–\$199.9	25	98
\$200–\$400	15	58
Greater than \$400	7	30
All IPO firms	100	391

Panel C: Distribution of IPO firms across industry groups (by two-digit SIC code)

	SIC code	Percent of IPOs	Number of IPOs
Business services	(73)	10.0	39
Chemicals and allied products	(28)	9.5	37
Health services	(80)	7.7	30
Electronic equipment	(36)	6.9	27
Industrial equipment	(35)	5.6	22
Instruments	(38)	5.6	22
Insurance	(63)	4.1	16
Banks and investment firms	(67)	4.1	16
Oil and gas	(13)	3.8	15
Durable goods	(50)	3.1	12
Other industries	(Various)	39.6	155
All IPO firms		100.0	391

All firms conducting IPOs in 1990 and 1991 with offering proceeds of \$5 million or greater (with details available in *Investment Dealers Digest*) are included in the sample. Panel A shows the time series of IPO dates across months in 1990–1991. Panel B shows the market capitalization of IPO firms, which is calculated as shares outstanding times market price as of the end of the 25-day SEC quiet period after the issue date. Panel C describes the sample by industry (two-digit SIC codes).

Table 1, Panels B–C: market cap and industry

Table 2
Number and performance of IPOs differentiated by underwriter

Underwriter	Number of IPOs	Average mkt. cap. (\$ millions)	Average 3-day size-adjusted issue date ER (%)	Average two-year post issue-date ER (%)
1	34	\$140	18.6	8.8
2	27	557	12.2	3.1
3	25	190	3.9	-24.4
4	23	119	9.1	-33.3
5	18	288	12.7	-5.7
6	17	145	9.6	2.7
7	16	156	7.9	-45.8
8	14	126	11.3	-12.3
9	11	203	6.7	-41.7
10	11	150	2.1	21.3
11	10	163	10.3	-44.2
12	8	109	8.5	-18.2
13	8	122	12.4	7.1
14	4	64	15.0	13.5
Others	165	133	11.0	-9.8
Totals/averages ^a	391	\$176	+10.8	-10.9

^aThe averages are across all IPOs in the sample. Underwriting firms conducting IPOs in 1990-1991 are divided into the 14 leading underwriting firms and 58 smaller firms classified as "others." The number of IPOs for which the underwriter was the lead underwriter in the 1990-1991 period is shown in column 1. The average market capitalization (at the end of the 25 day SEC quiet period) of IPOs by each underwriter is in column 2. Size-adjusted buy-and-hold average excess returns for each underwriter for the three-day issue date event and then the next two-year size-adjusted postevent period are shown in columns 3 and 4.

6.2 Tables 3 and 4: recommendation sources and buy recommendation characteristics

Read:

- Table 3 shows that 49% of IPOs have no *First Call* recommendation in the first year.
- 16% receive buy recommendations only from their own underwriters, 11% only from nonunderwriters, and 11% from both.
- Table 4 shows 214 added-to-buy recommendations: 112 by underwriters and 102 by nonunderwriters.
- Underwriter recommendations occur earlier after the IPO, with more occurring within months 1-2.
- Nonunderwriter recommendations tend to involve somewhat larger IPO firms.

Economic message: Underwriter recommendations are common and arrive early, which is consistent with the idea that investment banks initiate coverage on recent clients and potentially support their stock prices.

Table 3
IPO firms and their recommendations by sell-side security analysts

Panel A: IPO firms, differentiated by source of buy recommendations on *First Call* within the first year after IPO date

	Percent of IPOs	Number of IPOs
Firms w/ buy recommendations by underwriters (U) only	16	63
Firms w/ buy recommendations by nonunderwriters (non-U) only	11	44
Firms w/ buy recommendations by both U and non-U	11	41
Firms w/ non-buy recommendations only (by U or non-U)	13	52
Firms w/ no recommendations	49	191
All IPO firms in sample	100	391

Panel B: Multiple recommendations of individual firms

	Percent of IPOs	Number of IPOs
Firms with no recommendations in first year on <i>First Call</i>	49	191
Firms where 1 recommendation was made	25	102
Firms where 2 recommendations were made	14	56
Firms where 3 recommendations were made	6	26
Firms where 4 recommendations were made	4	9
Firms with 5–7 recommendations were made	2	7
Atmel, Fingerhut Companies Inc., Interstate Bakeries Corporation, MBNA Corp., Xilinx Inc., Advanced Logic Research, Readers Digest Association, Inc.		
All IPO firms in sample	100	391

Recommendation information on the IPO firms in 1990–1991 is taken from *First Call*. In panel A, we categorize all issuing firms according to the types of recommendations made by sell-side brokerage analysts within one year of the initial IPO date. Recommendations by underwriters (U) signify information provided by the equity research analyst of the lead manager brokerage firm. Recommendations by nonunderwriters (non-U) originate from

Table 3: recommendation sources

Table 4
Description of “buy” recommendations made by sell-side security analysts on IPO firms

Panel A: Number of added-to-buy recommendations in first year after IPO, by time since IPO

	By underwriter	By nonunderwriter	Total
Months 1–2 after IPO date	75	50	125 ^a
Months 3–6	32	31	63
Months 7–12	5	21	26
All added-to-buy recommendations	112	102	214

Panel B: Added-to-buy recommendations by market capitalization

Market capitalization (\$ millions)	By underwriter	By nonunderwriter	Total
Less than \$50	9	5	14
\$50–\$99.9	23	18	41
\$100–\$199.9	44	36	80
\$200–\$400	25	23	48
Greater than \$400	11	20	31
All added-to-buy recommendations	112	102	214

Panel C: Added-to-buy recommendations differentiated by industry (two-digit SIC codes)

	By underwriter	By nonunderwriter	Total
Chemicals and allied products (28)	11	14	25
Electronic equipment (36)	10	10	20
Industrial equipment (35)	10	9	19
Health services (80)	6	11	17
Insurance (63)	8	7	15
Business services (73)	8	5	13
Instruments (38)	9	3	12
Oil and gas (13)	5	2	7
Banks and investment firms (67)	4	2	6
Durable goods (50)	2	3	5
Other industries (various)	39	36	75
All added-to-buy recommendations	112	102	214

This table provides information on the 214 “buy” recommendations made by sell-side (brokerage) research analysts in the first year after the initial IPO date of the 391 IPOs in our 1990–1991 sample. We define “by underwriter” as recommendations made by sell-side research analysts of the lead manager of the IPO and “by non-underwriter” as recommendations made by other brokerage firm analysts. Market capitalization of IPO firms is calculated as shares outstanding times market price of the end of the 25-day SEC quiet period after the initial IPO date.

^a 5 of 125 added-to-buy recommendations were made before the end of the SEC quiet period for the firms

Table 4: buy recommendations by source

6.3 Table 5 and Figure 1: recommendation event and post-event performance

Read:

- Table 5 shows that underwriter buy recommendations are preceded by weak returns: -1.6% over the prior 30 days versus $+4.1\%$ for nonunderwriter recommendations.
- The three-day event reaction is positive for both groups but smaller for underwriters: 2.7% versus 4.4% .
- Post-recommendation performance diverges sharply. After 12 months, underwriter recommendations earn -5.3% while nonunderwriter recommendations earn $+13.1\%$.
- Figure 1 visualizes the cumulative divergence: nonunderwriter recommendations continue upward while underwriter recommendations drift downward.

Economic message: This is the central finding. Underwriter recommendations appear both more defensive and less valuable, which is consistent with bias and inconsistent with superior information.

Table 5
Excess returns before, at, and after analyst buy recommendations of IPO firms, differentiated by underwriting relationship

Added-to-buy recommendations	All buy recommendations (N = 214)	By underwriter (N = 112)	By non-underwriter (N = 102)	T-statistic/ z-statistic of the difference U vs. non-U
Excess return, prior 30 days				
Mean	1.2%	-1.6%	4.1%	2.36*
Median	0.7%	-1.5%	3.5%	2.71*
Excess return, 3-day event				
Mean	3.5%	2.7%	4.4%	1.55
Median	2.5%	2.2%	2.8%	1.15
Days after IPO date, mean	83	66	102	2.60*
Days after IPO date, median	50	47	63	3.48*
Excess return, event + 3 months				
Mean	7.8%	3.6%	12.5%	2.43*
Median	6.3%	3.3%	8.0%	2.44*
Excess return, event + 6 months				
Mean	8.2%	3.2%	13.8%	1.69
Median	5.7%	3.9%	7.8%	1.58
Excess return, event + 12 months				
Mean	3.5%	-5.3%	13.1%	2.29*
Median	-5.1%	-11.6%	3.5%	2.71*

*Significant at 0.05 level.

Excess returns (size-adjusted mean and median buy-and-hold returns) are calculated for periods before, at, and after the added-to-buy recommendation event date given on *First Call* for the 214 observations in our sample. Size adjustment is calculated by subtracting the buy-and-hold return from the appropriate value-weighted CRSP decile. We define "by underwriter" as recommendations made by equity research analysts of the lead manager of the IPO and "by nonunderwriter" as recommendations made by other brokerage firm analysts. "Days after IPO date" is the number of days after the initial IPO date until the added-to-buy recommendation. T-statistics are calculated using the cross-sectional variance in the excess returns and assume independence. The z-statistic from the Wilcoxon ranked-sum test compares the distributions of the underwriter and nonunderwriter recommendations nonparametrically.

Table 5: performance around buy recommendations

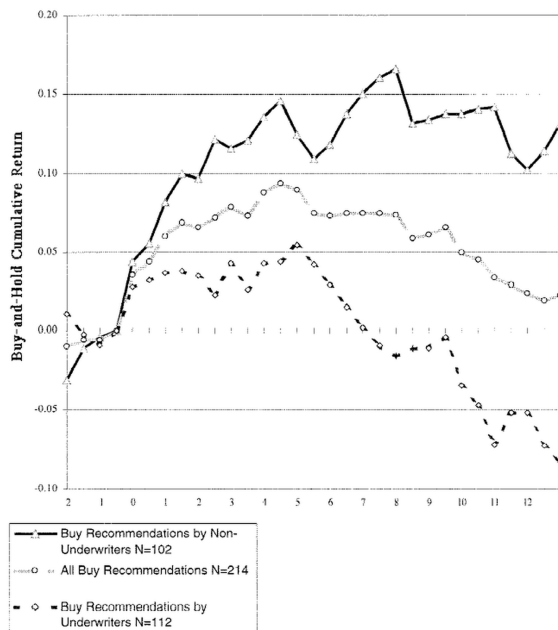


Figure 1
Cumulative mean-size-adjusted event return for firms receiving new buy recommendations within source

6.4 Table 6 and Figure 2: IPO return history by source of recommendations

Read:

- Table 6 compares IPO firms by whether they receive no recommendation, underwriter-only recommendations, both types, or nonunderwriter-only recommendations.
- First-day excess returns are similar across groups, around 10–11%.
- By two years after the IPO, underwriter-only recommended firms earn -18.1% mean excess returns, while nonunderwriter-only firms earn +45.0%.
- Figure 2 shows the return paths: underwriter-only firms eventually underperform, while nonunderwriter-only firms rise strongly.

Economic message: The result is not just a recommendation-date event-study artifact. Over the whole IPO life cycle, firms recommended only by their own underwriters perform much worse than firms recommended only by unaffiliated analysts.

Table 6
Return history of firms conducting IPOs in 1990–1991, differentiated by source of recommendation information

Panel A: Excess return of:

	(1) Firms w/ no recom- mendations (N = 191)	(2) Buy recom- mendations by U Only (N = 63)	(3) Buy recom- mendations by both U and non-U (N = 41)	(4) Buy recom- mendations by non-U only (N = 44)
First trading day, mean median	11.0% 5.9	10.4% 6.7	10.7% 9.2	10.3% 6.5
First six months ^a	4.8 0.6	18.1 14.6	35.3 28.6	28.9 20.5
First one year	-5.4 -11.6	-0.1 -18.1	36.1 33.0	34.4 34.3
First two years	-2.3 -36.8	-18.1 -51.9	33.6 -8.8	45.0 23.1
Market capitalization, mean Median	\$130 59	\$167 111	\$322 177	\$318 162

Panel B: Underwriter vs. nonunderwriter comparison

	Median difference in percent between U only and non-U only (col. 2–col 4, 2nd row)	Mean difference in percent between U only and non-U only (col. 2–col 4, 1st row)
First trading day ER (z-statistic, t-statistic) ^b	0.2% 0.39	0.1% 0.05
First six-months ER (z-statistic, t-statistic) ^b	-5.9% -0.72	-10.8% -1.08
First one year ER (z-statistic, t-statistic) ^b	-52.4% -2.84**	-34.1% -2.64**
First two years ER (z-statistic, t-statistic) ^b	-75.0% -2.90**	-63.2% -2.31*

^a All excess returns are calculated from the offer price to the price at the relevant day.

^b The z-statistic is computed from the Wilcoxon ranked sum test. T-statistics of the difference are calculated under the assumption of an unequal variance.

Table 6: IPO return history by recommendation source

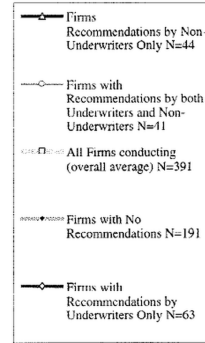
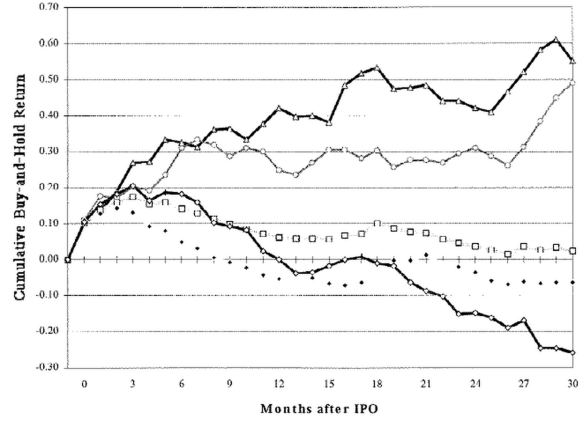


Figure 2
Cumulative mean buy-and-hold size-adjusted return for companies conducting IPOs in 1990–1991 conditional upon the source of brokerage recommendations
Cumulative return begins at the IPO price.

Figure 2: cumulative IPO return history

6.5 Table 7: robustness checks

Read:

- Panel A restricts buy recommendations to those within two months after the IPO date.
- Even in this early window, nonunderwriter recommendations outperform underwriter recommendations, especially after twelve months.
- Panel B restricts the sample to underwriters that themselves provide *First Call* coverage.
- The results remain similar, reducing concern that the comparison is driven by firms that were never covered by relevant underwriters.

Economic message: The main underperformance result survives timing and coverage restrictions. This strengthens the interpretation that the underwriter relationship, not sample construction, drives the bias.

6.6 Table 8: survey evidence on mechanism

Read:

- The authors survey 31 investment professionals and receive 26 responses.
- Respondents choose between a conflict-of-interest explanation and a selection-bias or winner's-curse explanation.
- 23 of 26 respondents, or 88%, choose strategic conflict of interest.

Table 7
Robustness checks on excess returns before, at, and after sell-side analysts' buy recommendations of IPO firms differentiated by underwriting relationship

Panel A: Buy recommendations within two months of the IPO date

Added-to-buy recommendations	All buy recommendations (<i>N</i> = 125)	By underwriter (<i>N</i> = 75)	By non-underwriter (<i>N</i> = 50)	<i>t</i> -statistic of the difference U vs. non-U
Excess return, prior 30 days	-0.7%	-1.5%	0.9%	0.61
Excess return, 3-day event	3.6%	2.7%	5.2%	1.85
Days after IPO date, mean	35	36	34	
Excess return, event + 2 months	5.9%	2.7%	10.7%	2.53*
Excess return, event + 6 months	5.7	1.1	12.1	1.63
Excess return, event + 12 months	1.7	-5.4	12.3	1.70

Panel B: Buy recommendations by only underwriters with *First Call* coverage

Added-to-buy recommendations	All buy recommendations (<i>N</i> = 195)	By underwriter (<i>N</i> = 110)	By non-underwriter (<i>N</i> = 85)	<i>t</i> -statistic of the difference U vs. non-U
Excess return, prior 30 days	1.1%	-1.8%	4.7%	2.60
Excess return, 3-day event	3.5%	2.8%	4.3%	1.33
Days after IPO date, mean	81	66	98	2.55*
Excess return, event + 2 months	6.0%	4.0%	8.5%	1.65
Excess return, event + 6 months	3.9	2.1	6.2	0.79
Excess return, event + 12 months	-1.0	-7.5	7.4	2.04*

This table reports the buy-and-hold excess return around added-to-buy recommendations for two subsamples of firms going public in 1990-1991. In panel A, we include only buy recommendations made within two months after the IPO went public, and in panel B we include only recommendations made by underwriters covered by *First Call*. Excess (size-adjusted mean buy-and-hold) returns are calculated for periods before, at, and after the recommendation event date given in *First Call*. Size adjustment is calculated by subtracting the buy-and-hold return from the appropriate value-weighted CRSP decile. We define "by underwriter" as recommendations made by equity research analysts of the lead manager of the IPO and "by nonunderwriter" as recommendations made by other brokerage firms' analysts. *T*-statistics are calculated using the cross-sectional variance of the excess returns.

Table 8
Poll results

Respondent from	Respondent's choice	
	Strategic conflict of interest	Selection bias (winner's curse)
Investment management	13	0
Investment banking	10	3
Total	23 (88%)	3 (12%)

- All 13 investment management respondents choose conflict of interest; 10 of 13 investment banking respondents also choose conflict of interest.

Economic message: The survey is not causal evidence, but it supports the interpretation that market participants themselves viewed the recommendation bias as arising from strategic conflicts rather than innocent selection alone.

7 Short summary

- The paper studies conflicts of interest in sell-side analyst recommendations for IPO firms.
- The key empirical contrast is between buy recommendations issued by a firm's own lead underwriter and those issued by nonunderwriter brokerage firms.
- Underwriter buy recommendations are preceded by poor stock performance.
- The market reaction to underwriter recommendations is positive but weaker than the reaction to nonunderwriter recommendations.
- Underwriter recommendations underperform nonunderwriter recommendations over the next year.
- Firms recommended only by their underwriters perform poorly over the two years after the IPO, while firms recommended only by nonunderwriters perform well.
- These patterns reject the superior-information hypothesis for lead underwriter analysts.
- The evidence is consistent with strategic conflict of interest, selection bias, or cognitive anchoring, but survey evidence supports conflict of interest as the dominant interpretation.
- The paper is an early empirical foundation for later regulation and debate about analyst independence.

8 Conclusion

8.1 Core conclusion

Michaely and Womack show that recommendations by analysts affiliated with IPO underwriters are less credible than recommendations by unaffiliated analysts. Underwriter recommendations are issued after weaker prior stock performance and are followed by worse long-run returns.

8.2 Economic intuition

A lead underwriter earns fees and builds client relationships through investment banking. Its research analysts may therefore face incentives to support newly public clients, especially when their stock prices are weak. Even if analysts are not consciously strategic, the underwriting process can generate optimistic priors or anchoring. Either way, the result is that underwriter recommendations are less informative than nonunderwriter recommendations.

8.3 Takeaway

The paper demonstrates that the institutional source of a recommendation matters. Analyst research is not just information production; it is embedded in financial intermediaries with multiple business lines. When those business lines conflict, recommendation credibility can be compromised.